

Explaining that she wasn't the one responsible didn't work because she was in fact equally responsible.

Rhonda hasn't spoken to Devin for three years. Their long and close friendship has been ruined by this experience. Of course, not every story ends as sadly as theirs, but the important thing to remember is that when friends enter into financial agreements, there is more than money at stake.

Follow these do's and don'ts and be aware of the risks before you decide to loan or borrow money from friends.

When you loan a friend money:

- Do have them sign an agreement. When it's in writing, the obligation to repay is stronger.
- Do discuss what will happen if they can't repay you.
- Don't make them feel bad because they can't handle their money affairs on their own.
- Don't lose your temper if they aren't repaying you.
- Do try to act rationally and see if you can work out a postponement or another repayment schedule.
- Do remember that it is only money, which comes and goes. Good friendships are hard to find.

When you decide to borrow money from a friend:

- Do look at other options. Can you cut some of your expenses, earn extra money, or sell something you own before you ask a friend for a loan?
- Do ask yourself if you really need the item you are borrowing money for. Is it a want or a need?
- Do figure out a realistic plan for repayment. Remember that breaking a promise usually will not earn points with your friend.
- Don't avoid your friend when you find out you can't pay them back.

